

The Ethical Dilemma of Artificial Intelligence in Hiring Decisions

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In 1956, John McCarthy coined the term artificial intelligence (AI) to “describe computers with the ability to mimic or duplicate the functions of the human brain” (Stair & Reynolds, 2018, p. 310). Since its inception, AI has evolved from a simple checkers program to complex machine learning systems (MLS) capable of analyzing vast datasets and making data-driven decisions. AI has become increasingly prevalent in the business market as its infrastructure advances, significantly shaping modern hiring practices. A McKinsey (2025) survey reveals that 78% of organizations utilize AI in at least one business function, which is a sharp rise from 55% in early 2023. The rise in adoption of AI within hiring is a result of its ability to increase efficiency, provide data-driven insights, reduce costs, and “remove” human bias. Yet, the increased adoption of AI in hiring raises critical ethical concerns, making it essential to examine whether these technologies should be trusted to make employment decisions.

Ethics of Artificial Intelligence in Hiring

Artificial intelligence (AI) offers notable advantages in recruitment, such as increasing efficiency, consistency, and the potential to reduce human bias when properly implemented. These benefits have positioned AI as a valuable tool for organizations seeking to streamline their talent acquisition (TA) processes. However, despite these benefits, AI also presents significant challenges. AI’s lack of human judgment, tendency to reinforce systemic biases, and questionable accountability make it ethically problematic and unfit to make hiring decisions on its own. Nevertheless, by combining AI with responsible human oversight, organizations may find a more ethical and effective approach to talent acquisition.

The Advantages of AI in Recruitment

In talent acquisition (TA), AI has several advantages if utilized appropriately. Augmented analytics (AA) tools use artificial intelligence and natural language processing (NLP) to automate the analysis of recruitment data, generate insights, and support data-driven decision-making. For instance, AA can examine historical hiring data, candidate sourcing channels, and recruitment timelines to identify which strategies will result in the best hires. An AI-driven platform might automatically flag underperforming job descriptions or suggest optimal times to post openings externally to increase visibility. It can also enhance outreach efforts as recruiters can utilize LinkedIn's NLP program to generate sourcing outreach messages to boost engagement. Additionally, augmented analytics could recommend new sourcing platforms based on demographics of past successful hires. By automating data preparation and delivering deeper insights than traditional methods, AA enables organizations to make more informed, efficient, and predictive talent acquisition decisions (Alghamdi & Al-Baity, 2022).

Additionally, TA can improve efficiency and reduce costs by leveraging AI-automated workflows to support recruiters. Murugesan et al. (2023) emphasize that AI can automate routine tasks like resume screening and scheduling, minimizing human intervention. By automating these processes, organizations can reallocate recruiting professionals' time to focus on more strategic functions. These automations will also reduce operational costs for the business. Furthermore, AI will decrease time-to-hire because it can quickly analyze large volumes of candidate data, identify the best match, and streamline communication with candidates. This accelerated process improves the candidate experience and allows organizations to fill critical roles faster, reducing productivity losses associated with vacant positions.

Lastly, AI offers standardized processes that can help reduce bias stemming from human partialities. By applying consistent evaluation criteria across all candidates, AI systems can

mitigate the impact of subjective judgment during candidate screening. Upadhyay and Khandelwal (2018) noted that AI “screens resumes fairly by giving equal weight to all candidates” (p.257), suggesting it may help promote more uniform assessments. Murugesan et al. (2023) similarly points out that AI-driven systems, when carefully designed, can contribute to reducing personal identifiers from applications, allowing recruiters to focus more on job-relevant qualifications. While these benefits depend on the quality of data and how the systems were built, AI may offer useful tools for organizations aiming to reduce bias and improve fairness in recruitment. However, despite these efforts to reduce human bias, AI in talent acquisition continues to raise serious ethical concerns about the limits of algorithmic decision-making, fairness, and accountability.

Ethical Pitfalls of AI in Recruitment

While AI offers several advantages in recruitment, its use also raises significant ethical questions. A cause for concern is that AI lacks the human judgment needed to interpret complex individual qualities. Algorithmic decision-making often reduces candidates to a numerical score, which can oversimplify the evaluation process. Binns et al. (2018) highlights skepticism about fairness as they describe the process as “reducing a human being to a percentage” (p. 1).

Although AI might be highly efficient in filtering large candidate pools and identifying patterns in data, it lacks the nuanced judgment required to evaluate intangible human qualities. Attributes such as emotional intelligence, adaptability, growth potential, and cultural fit are often best evaluated through human interaction and contextual understanding. These elements cannot be fully captured or codified by algorithms. When hiring decisions rely too heavily on a data-driven scoring system, organizations risk overlooking promising candidates who do not conform to quantifiable metrics.

Additionally, at the forefront of these concerns is AI's tendency to enact systemic discrimination against gender and racial backgrounds in the hiring process. Although the use of AI aims to reduce bias and improve fairness in the recruitment process, algorithmic systems can replicate or amplify existing societal biases when trained on historical data. This can be seen in the works of Wilson and Caliskan (2024) who analyzed the three most popular AI models within the recruitment selection process. Their finding revealed that the screening tools preferred white-associated names 85% of the time, while black males were at the greatest disadvantage in 100% of the cases. This outcome reflects a well-known data theory: garbage in, garbage out. Dr. Choma stated, "When we talk about 'bias in AI,' we must remember that computers learn from us" (as cited in Flores, 2024, para. 10). In other words, AI systems are taught by utilizing historical data influenced by past inequities resulting in systemic biases reflected in their outputs. These biases do not exist in isolation; they are compounded by broader structural issues in how AI systems are designed and implemented.

Further research by Bogen and Rieke (2018) supports these concerns, emphasizing that many hiring algorithms are developed with little transparency and are often trained on datasets that lack demographic diversity. As a result, the design and deployment of these tools can unintentionally disadvantage marginalized groups. The authors argue that because companies often do not audit or fully understand how their AI system works, biased outcomes can persist without accountability or correction. When organizations fail to audit or understand how these systems function, they allow discriminatory patterns to persist unchecked, undermining ethical hiring practices and trust. These interconnected issues highlight the need for stronger governance frameworks, which is a growing area of concern for companies adopting AI in TA.

Corporate Ethical Responsibility

As AI continues to play a growing role in recruitment, companies bear a critical ethical responsibility in how these technologies are implemented and governed. McCormack and Bendeckache (2024) emphasize that ethical governance frameworks should be in place to monitor and evaluate how algorithms operate. They concluded that current approaches to ethical AI are often fragmented and lack standardized tools for evaluation. This is problematic in the hiring process given its potential to impact people's livelihoods. These frameworks should prioritize fairness, accountability, and transparency to minimize harm and ensure the AI system aligns with organizational values. Failure to do so risks breaking trust, reinforcing inequity, and exposes the company to reputational and legal consequences.

Another key area of concern is the right to explanation and informed consent. Candidates should be made aware when AI is being used in the hiring process, and they should have access to clear explanations of how automated decisions are made. Binns et al. (2018) argue that algorithmic systems can leave individuals feeling powerless and excluded, especially when decisions lack transparency or avenues for appeal. Emerging data privacy standards increasingly support the notion that individuals have a right to know how their personal data is used, and this includes AI assessments. Ensuring informed consent is not just a safeguard against legal liability, but also a foundational element of ethical, human-centric recruitment practices. To address these ethical responsibilities, organizations must consider practical strategies that combine human oversight with the efficiencies offered by AI.

Ethical Middle Ground

Although artificial intelligence in recruitment raises ethical concerns, it is not inherently incompatible with fairness and accountability. Rather than viewing AI and human judgment as opposing forces, organizations should adopt human-in-the-loop (HITL) systems as a forward-

thinking approach that strategically combines the strengths of both. This blends the efficiency of AI with the contextual judgment of human decision-making (McCormack & Bendeche, 2024). By maintaining human oversight at key stages, companies can reduce the risk of blindly trusting algorithmic outcomes while still benefiting from AI's strengths. Responsible hybrid models offer more flexibility and nuance than fully automated systems.

In their discussion on trustworthy AI (TAI), McCormack and Bendeche (2024) advocate for the integration of transparent design principles, regular system evaluations, and inclusive oversight. They argue that ethical AI governance requires not only technical robustness, but also organizational practices that prioritize ongoing monitoring and responsiveness. Based on these principles, companies must ensure transparency in algorithmic design. Equally important, users and candidates should be able to understand how decisions are made. The organizations must conduct routine audits and bias testing to identify and correct any discriminatory patterns over time. Furthermore, firms should incorporate candidate feedback mechanisms that allow individuals to question, appeal, or better understand AI-driven decisions. Taken together, these strategies represent a proactive and balanced approach that recognizes both the potential and limitations of AI in recruitment.

Conclusion

Artificial intelligence has introduced significant efficiencies in recruitment, from automating routine tasks to offering data-driven insights that can streamline hiring decisions. However, these benefits come with ethical costs. AI systems, while appearing objective, can reinforce systemic discrimination and overlook human qualities that are critical to candidate evaluation. They lack human judgment, often reducing candidates to numerical values, and operating within black box systems that can undermine fairness and trust. Therefore, they must

not be used in isolation but governed through transparent, accountable practices, and blend with human judgment to ensure ethical, effective recruitment.

Addressing these concerns requires organizations to take ethical responsibility for how AI is designed, deployed, and governed. This includes implementing transparent practices, ensuring informed consent, and adopting HITL systems that balance automation with human judgment. Ethical governance frameworks provide a path forward for companies seeking to use AI responsibly in talent acquisition.

As AI technology continues to evolve, future research should explore how different algorithmic designs impact various demographic groups, how candidates perceive AI led hiring experiences, and what regulatory standards are most effective to safeguarding fairness. This research should be conducted by a combination of academic institutions, government regulatory bodies, and independent ethics organizations to ensure objectivity and societal relevance. Understanding the long-term social impact of AI in hiring will be essential to ensuring that technological progress does not come at the expense of equal opportunity.

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